

OEE Proposal & Investment Guide

A practical commercial pack for presenting an IIOT-ready OEE system to manufacturing units — Phase-1 scope, success criteria, and recommended software pricing.

IIOT-ready OEE

1-Line Phase-1

TPM · 4M · RFT · Kaizen ready

Promise to the plant

In 90 days on one line: live OEE, top losses ranked, and at least one proven before/after improvement — with low risk and clear ownership.

1. Phase-1 Proposal (hand this to management)

Keep the first sale small, measurable, and easy to approve.

Phase-1 Goal: One line · 90 days · Visible loss reduction · Expand later

Scope

INCLUDED

- 1 plant ·
 1 production line
- Masters: users, shifts, machines, SKUs, downtime reasons
- Work Order Planning + hourly Production Entries
- Downtime & Changeover logging
- OEE dashboards (Plant / Line / Day / Week)
- Excel reports + role-based access
- Operator + Supervisor training
- Weekly review support during Phase-1

NOT IN PHASE-1 (OPTIONAL LATER)

- Multi-line / multi-plant rollout
- PLC / sensor IIOT auto-capture
- Custom ERP / SAP integration
- Mobile app / Andon hardware
- 24×7 on-site support

Start digital OEE discipline first. IIOT sensors after data quality is proven.

Success criteria (agree in writing)

#	Criterion	Target
1	Shift data completeness (hourly + downtime)	≥ 90%
2	OEE dashboard used in daily / weekly meeting	Yes
3	Top downtime reasons ranked by minutes	Top 5 visible
4	At least one improvement with before/after	1–2 projects
5	Phase-1 review with Plant Head	End of Day 90

90-day timeline

Week 1–2

Masters, setup, training

Week 3–4

Daily entry discipline

Week 5–8

Pareto + first Kaizen

Week 9–12

Before/after review → expand

Customer must provide

- Named **champion** (Production Manager / Supervisor)
- Approved OEE policy (startup / lunch / changeover treatment)
- Standard downtime & quality reason list
- Weekly 30–45 min review slot with Production + Maintenance

2. Recommended Software Packages & Prices

Indicative India market ranges for SME / mid-size plants. Adjust for plant size, urgency, and competition.

How to use this page: These are *recommended selling prices*, not fixed costs. Pick a band, then quote a round number. Always separate **one-time setup** from **annual support**.

PACKAGE A

Starter — 1 Line OEE

₹1.5–2.5 Lakh one-time

+ ₹25–40k / year support

- 90-day Phase-1 delivery
- Training (ops + supervisor)
- Weekly OEE reviews (Phase-1)
- Best for first customer / proof

MOST SOLD

PACKAGE B

Plant Pack — Multi-line OEE

₹4–8 Lakh one-time

+ ₹60k–1.2 Lakh / year support

- All lines in one plant
- Full OEE dashboards + reports
- Role setup + SOP templates
- Monthly improvement review (3–6 mo)

PACKAGE C

Enterprise / Group IIOT

₹10–25 Lakh+ one-time

+ 15–20% AMC / year

- Multi-plant / multi-site
- Custom workflows / SSO
- ERP / SAP + IIOT connectors
- Dedicated success manager

Optional add-ons (quote separately)

Add-on	What it is	Indicative price
Extra production line	Same plant, additional line OEE setup	₹40–80k / line
IIOT sensor / PLC integration	Auto count + run/stop (per line)	₹1.5–4 Lakh / line*
Custom report pack	Plant-specific PDF/Excel formats	₹30–75k
On-site training day	Extra beyond Phase-1 training	₹15–25k / day
Kaizen facilitation (monthly)	Facilitated loss-reduction workshop	₹20–40k / month

*IIOT / sensor price depends on hardware brand, PLC access, and cabling — often quoted with a local automation partner.

Simple quote examples (copy into proposals)

Customer type	Recommended offer	Example quote
First plant / hesitant buyer	Package A Starter OEE	₹1,99,000 + GST · Year-1 support ₹30,000
1 plant, 3–6 lines, ready to decide	Package B Plant Pack	₹5,90,000 + GST · AMC ₹90,000 / year
Group with 2–3 plants	Package C (phased)	₹12–18 Lakh phased · AMC 18%

3. How to Decide Your Price (and Your Cost)

If you are unsure of cost, separate *your delivery cost* from *customer selling price*.

A. Estimate your delivery cost (internal)

Work item	Effort (Phase-1)	Rough internal cost*
Discovery + OEE policy workshop	2–3 days	₹15–30k
Setup masters + configuration	3–5 days	₹25–50k
Training (operators + supervisors)	2 days	₹15–25k
Go-live support (2–4 weeks)	part-time	₹30–60k
Weekly OEE reviews + report (Phase-1)	8–10 calls	₹20–40k
Hosting / cloud / domain (Year 1)	—	₹10–30k
Total internal Phase-1 cost (typical)		₹1.0–2.0 Lakh

*Based on blended consulting/dev rate ≈ ₹4–8k/day in India SME services. Use your real salary/overhead.

Pricing rule of thumb: Selling price ≈ **1.5× to 2.5×** your delivery cost for Phase-1, and higher margin on Plant Pack once the OEE product is productized. Example: if Phase-1 costs you ₹1.2 Lakh to deliver, quote **₹1.99–2.49 Lakh**.

B. Payment terms (recommended)

40%
On PO / kickoff

40%
On go-live (data entry live)

20%
On Phase-1 review (Day 90)

C. What to say when customer asks “Why this price?”

- “This is not only software — it includes OEE setup, training, and weekly loss reviews.”
- “Phase-1 is priced to prove OEE value on one line before you invest plant-wide.”
- “Annual support covers updates, user help, and KPI review cadence.”
- “IIOT sensor automation is optional Phase-2 after manual data quality is stable.”

D. Discount policy (protect your margin)

Allowed

- 5–10% for advance full payment
- Phase-1 credit against Plant Pack (e.g. ₹50–75k)
- Multi-year AMC prepaid discount

Avoid

- Free unlimited customisation
- Open-ended “until management is happy”
- Cutting training / weekly reviews to win price

4. Ready-to-Fill Quote Template

Fill blanks before the meeting. Print as last page or separate commercial sheet.

Customer / Plant:

Line for Phase-1:

Champion (name/role):

Proposed start date:

Prepared by:
1BY0 Solutions / _____
Valid until:

Item	Description	Amount (INR)
IIOT OEE — Phase-1	1 line · 90 days · setup · training · weekly OEE reviews	₹ _____
Year-1 Support / AMC	Updates, support, remote assistance	₹ _____
Optional add-ons	Extra line / custom reports / IIOT sensors (attach list)	₹ _____
Subtotal		₹ _____
GST (as applicable)		₹ _____
Total investment		₹ _____

Suggested default numbers (edit before printing)

CONSERVATIVE
Phase-1 ₹1,75,000
Support ₹25,000 / year
Use when first reference is critical.

RECOMMENDED
STANDARD
Phase-1 ₹1,99,000
Support ₹30,000 / year
Best balance of value and margin.

PREMIUM
Phase-1 ₹2,49,000
Support ₹40,000 / year
Includes stronger on-site presence.

Closing line for the meeting: “Approve Phase-1 OEE on one line at ₹_____. If success criteria are met, we roll out remaining lines under Plant Pack with Phase-1 fee credit.”

NEXT STEP

Book kickoff within 7 days of PO · Assign champion · Freeze OEE policy

1BY0 Solutions · IIOT OEE · Manufacturing digital productivity